2020–21). This expenditure also accounted for most of the capital expenditure, subsidies and schemes directly implemented by the Centre.

Second, budget for the CSSs (Rs 3.40 lakh crore), which provide grants to state governments to undertake schemes of delivering public services like health and education, growth like MGNREGA and redistribution like old-age pension and food security scheme. CSSs finance subjects reserved constitutionally for states.

Third, 'other central expenditure' (Rs 1.80 lakh crore of a budgeted Rs 8.88 lakh crore after excluding interest payments) provided for expenditures incurred though agencies like University Grants Commission (UGC) and investment made in and other assistance provided to PSUs, like equity support to BSNL.

Fourth, 'other transfers' (Rs 0.88 lakh crore) basically accounted for transfer of loans and discretionary grants to state governments.

Some of these formally discretionary expenditures also tend to be non-discretionary in practice. For example, the central-sector schemes included capital outlay for Defence of Rs 1.14 lakh crore. Such expenditures are hardly effective from the economic and social policy perspective. However, taking into account the fact that such expenditures also result in production and purchase of goods and services, these could be treated as part of policy-oriented expenditures.

Policy Expenditures in Budget 2020–21

All Central government discretionary expenditures and some part of non-discretionary expenditures incurred through state governments, like the Finance Commission grants, etc., make up the policy expenditures in Budget 2020–21. Thus, policy expenditures are larger than the discretionary expenditures of the Central government.

The Central government Budget allocated Rs 6.88 lakh crore (23 per cent) of expenditure to deliver public goods and services (about one-fourth